MERIDIAN TRUST BANK LTD.
Head Office

Circular No.	GL/2025/05
Date	02 June 2025
Issued by	Retail Assets Department
Subject	**Gold Loan: Policy Guidelines**

1. Security accepted

Gold ornaments of **18 to 22 carat** purity, and gold coins sold by banks up to a maximum of 50 grams per borrower. Gold bars and bullion are not accepted.

2. Valuation and LTV

Gold is valued at the average closing price of 22-carat gold over the preceding **30 days**; 18-carat gold is valued proportionately. The loan amount shall not exceed **75%** of the value of the gold.

3. Loan amount, tenure and interest

Parameter	Terms
Loan amount	Minimum Rs. 10,000; maximum Rs. 25,00,000
Tenure	Maximum 12 months
Interest: bullet repayment (principal and interest at maturity)	9.50% p.a.
Interest: monthly interest servicing	9.25% p.a.
Valuation fee	Rs. 500 per loan

4. Default and auction

If the loan is not repaid within **90 days** after the due date, the Bank will issue two notices at least 15 days apart. If dues remain unpaid, the gold will be sold by public auction. Any surplus after recovering dues is returned to the borrower.

5. Custody

Pledged gold is kept in sealed packets in the branch strong room under dual control and is fully insured by the Bank.

General Manager, Retail Assets
Meridian Trust Bank Ltd.